

**SECURITIES AND EXCHANGE BOARD OF INDIA
SECONDARY MARKET DEPARTMENT
Mittal Court, A Wing, Gr. Floor,
224, Nariman Point, Mumbai 400 021**

SMDRP/POLICY/CIR- 35/2000
August 04, 2000

**To
The President/Executive Directors/Managing Directors
All the Stock Exchanges**

Dear Sir/Madam,

As per the present SEBI guidelines, allotment in public issues is required to be made within 30 days from the date of closure of issue. However, it has come to SEBI's notice that although the issuers complete the allotment process within 30 days, the actual listing and trading permissions take a longer time resulting in delay in commencement of trading. It is observed that the need to obtain listing and dealing permission separately at two stages after the allotment from each of the exchanges where the securities are proposed to be listed is one of the major reasons for delays in the listing and commencement of trading.

Therefore, with a view to rationalise the procedures and to ensure commencement of trading of securities expeditiously, it has been decided to modify the listing procedure as under :

(a) Issuer shall continue to file the draft offer document simultaneously with the stock exchanges where the securities are proposed to be listed, while filing with SEBI.

(b) The stock exchanges shall be obliged to accept or decline the request for in-principle approval for listing within 15 days of submission of the draft offer document. The lead manager shall furnish to SEBI the in-principle approval from the stock exchanges within the said 15 days. If the in-principle approval of all the stock exchanges stated in the draft offer document is not submitted within the said period, the lead manager shall not proceed with the issue and the file shall be closed.

(c) The details of in-principle approval for listing shall be disclosed in the offer document.

(d) The despatch of share certificates / refund orders / cancelled stock invests and demat credit shall be completed and the allotment and listing documents submitted to the stock exchanges within 2 working days of finalisation of the basis of allotment.

Regional stock exchange shall give its final approval for listing and trading within 3 working days thereafter. It shall be obligatory for other stock exchanges to give automatic approval for listing and trading once the regional stock exchange gives its consent. The lead manager shall ensure that the issuer completes the formalities for listing and commencement of trading at all the stock exchanges where the securities are to be listed within 7 working days of finalisation of basis of allotment.

The Stock exchanges are advised to ensure and facilitate the above.

The provisions of this circular shall be applicable to issues for which draft offer documents have been filed with SEBI on or after June 15, 2000.

Yours faithfully,

P. K. BINDLISH

Division Chief

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